

Contract of Sale & Building/Pest Inspection Red Flags — New South Wales

What to check before you're legally committed.

Correct as at July 2026. General information only, not legal advice — always have a solicitor or conveyancer review your specific contract.

Section 1 — Understanding the NSW Contract of Sale

- ☐ [] **Know that in NSW, the vendor prepares the Contract of Sale before the property is even listed** — unlike some other states, this means a draft contract typically exists from the outset, and you're entitled to request and review it early.
- ☐ [] **Check the s10.7 planning certificate is included** (formerly known as the s149 certificate) — issued by the local council, this discloses zoning, heritage listings, flood/bushfire risk, and any known development restrictions affecting the property.
- ☐ [] **Check title details and any encumbrances** — mortgages, easements, covenants, or caveats affecting the land.
- ☐ [] **Check for a Home Building Compensation Fund (HBCF) certificate** if the property has had residential building work over \$20,000 within the past 6 years — this insurance protects against incomplete or defective building work, and its absence where required can be a red flag.
- ☐ [] **If buying a strata property, review the strata records** — recent AGM minutes, the sinking fund balance, any special levies, and the strata plan itself. Poor sinking fund health directly affects your future costs as an owner.
- ☐ [] **Check the sewer service diagram** and confirm connected services.

Section 2 — Underquoting Protections

- ☐ [] **Know your protection under the Property and Stock Agents Act 2002.** NSW agents are legally prohibited from underquoting — they must provide a reasonable estimated selling price in the agency agreement, supported by comparable sales, and must revise this estimate if market conditions change. The maximum penalty for underquoting is **\$22,000**.
- ☐ [] **Ask the agent for the comparable sales behind their price guide** if you have any doubt about whether an advertised range reflects genuine market expectations.
- ☐ [] **Report suspected underquoting to NSW Fair Trading** if you believe a price guide was deliberately misleading.

Section 3 — Building & Pest Inspection: Non-Negotiables

- ☐ [] **Book the inspection before exchange (private treaty) or before auction day.** There is no cooling-off period at auction in NSW, so this is your only window to catch serious problems.
- ☐ [] **Use a licensed, independent inspector** — not one exclusively recommended by the selling agent without your own due diligence.
- ☐ [] **Get both a building and pest inspection**, ideally combined — termite damage is a genuine risk across much of NSW, including older Sydney housing stock.
- ☐ [] **Ask specifically about:** structural issues, rising damp, roof condition, asbestos (common in homes built or renovated before the early 1990s), and the age/condition of electrical and plumbing systems.
- ☐ [] **Get the report in writing before exchange or auction day** — you need this for negotiation leverage and your own records.

Section 4 — Common Contract Red Flags

- ☐ [] **Special conditions that override standard buyer protections** — read every special condition; these can vary the general conditions significantly.
- ☐ [] **Finance clauses (or their absence)** — if you're not fully pre-approved, ensure a clear finance condition with a defined timeframe is in the contract before you exchange.
- ☐ [] **Settlement period mismatches** — confirm the settlement date works with your finance, insurance and moving logistics.
- ☐ [] **Deposit terms** — confirm the deposit amount, due date, and where it's held (usually in a solicitor's or agent's trust account) before exchange.
- ☐ [] **Inclusions list** — ensure everything you expect (blinds, dishwasher, etc.) is explicitly listed in the contract, not just verbally agreed.

Section 5 — Before You Exchange: Final Checks

- ☐ [] **Have a solicitor or conveyancer review the full Contract of Sale**, including the s10.7 certificate and any special conditions, before you exchange — whether private treaty or pre-auction.
- ☐ [] **Confirm your cooling-off rights apply** (5 business days, private treaty only, not auction) and understand the 0.25% exit cost if you withdraw.
- ☐ [] **Don't let time pressure rush your review** — if you need more time to review the contract or complete an inspection, it's reasonable to ask for it before exchanging.

Quick Reference — Key NSW Contract Protections

PROTECTION	WHAT IT MEANS
Contract of Sale	Prepared by the vendor before listing; request and review early
s10.7 planning certificate	Discloses zoning, heritage, flood/bushfire risk
Underquoting prohibition	Max penalty \$22,000 under the Property and Stock Agents Act 2002
Cooling-off period	5 business days, private treaty only — 0.25% penalty to withdraw

Building/pest inspection	Not legally required to be provided — always arrange your own
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